SUBCONTRACT AGREEMENT: FIRE PROTECTION SYSTEMS, PORT OF STOCKTON WAREHOUSE 7

This Subcontract Agreement (the "Subcontract") is made and entered into as of February 2, 2026, by and between Northgate Builders Group, a California corporation, California Contractor's State License Board ("CSLB") License No. 917204, Class B, with its principal office at 4810 Gateway Oaks Drive, Suite 300, Sacramento, California 95834 ("Contractor"), and Allied Fire Protection, Inc., a California corporation, CSLB License No. 803561, Class C-16, with its principal office at 1275 East Pine Street, Lodi, California 95240 ("Subcontractor").

Contractor has entered into a prime contract (the "Prime Contract") with Coastal Logistics REIT ("Owner") for construction of the project known as Port of Stockton Warehouse 7, located at 3300 Wharf Access Road, Stockton, California 95203 (the "Project"). Contractor wishes to engage Subcontractor to perform a portion of the work required by the Prime Contract, and Subcontractor wishes to perform that work, on the terms stated in this Subcontract.

In consideration of the mutual promises below, the parties agree as follows.

ARTICLE 1 — DEFINITIONS

1.1 "Contract Documents" means this Subcontract, the Prime Contract to the extent it applies to the Subcontract Work, the drawings and specifications for the Project prepared by Delta Basin Architects, dated November 14, 2025, all addenda issued before the date of this Subcontract, and all Change Orders and written modifications issued after the date of this Subcontract.

1.2 "Subcontract Work" means all labor, materials, equipment, supervision, design, engineering, permits, testing and services required to furnish and install complete, operable and code-compliant fire protection systems for the Project, as further described in Article 2.

1.3 "Final Completion" means the date on which the Subcontract Work is fully complete, accepted by the authority having jurisdiction, and accepted by Contractor and Owner. Final Completion also requires that all punch list items be corrected and all closeout deliverables required by Article 15 be delivered to Contractor.

1.4 "Application for Payment" means Subcontractor's monthly written request for payment submitted under Article 5.

1.5 "Stored Materials" means materials and equipment that are specifically fabricated or procured for the Subcontract Work and that have not yet been incorporated into the Project.

1.6 "Backcharge" means any cost, expense or damage incurred by Contractor that is attributable to Subcontractor's acts, omissions, defaults or failure to perform under this Subcontract.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 Subcontractor shall perform the Subcontract Work in accordance with the Contract Documents, including without limitation Specification Section 21 05 00 (Common Work Results for Fire Suppression), Section 21 11 00 (Facility Fire-Suppression Water-Service Piping), Section 21 12 00 (Fire-Suppression Standpipes), Section 21 13 13 (Wet-Pipe Sprinkler Systems), Section 21 13 16 (Dry-Pipe Sprinkler Systems), Section 21 13 39 (Early Suppression Fast Response Sprinkler Systems) and Section 21 31 13 (Electric-Drive Centrifugal Fire Pumps).

2.2 The Subcontract Work includes the underground fire service from the point of connection five feet outside the building line, backflow prevention assembly, fire pump and controller, ESFR sprinkler systems throughout the high-piled storage area, wet-pipe systems in the office area, dry-pipe systems at the dock canopies, standpipes, fire department connections, seismic bracing and hangers, hydraulic calculations, shop drawings, and all required flushing, hydrostatic testing and acceptance testing.

2.3 Subcontractor shall prepare and submit stamped shop drawings and hydraulic calculations to Contractor within twenty-one (21) days after the date of this Subcontract. Subcontractor shall obtain approval from the Stockton Fire Department before fabrication begins.

2.4 Subcontractor has examined the Contract Documents and the Project site. Subcontractor accepts the conditions under which the Subcontract Work will be performed. Subcontractor shall not be entitled to additional compensation for conditions that a reasonable fire protection subcontractor would have discovered by such an examination.

2.5 Subcontractor is bound to Contractor by the terms of the Prime Contract to the same extent that Contractor is bound to Owner, insofar as those terms apply to the Subcontract Work. Where this Subcontract and the Prime Contract conflict, the provision imposing the more stringent requirement on Subcontractor governs, unless this Subcontract expressly states otherwise.

ARTICLE 3 — SUBCONTRACT SUM

3.1 Contractor shall pay Subcontractor the sum of Four Hundred Twenty-Eight Thousand Dollars ($428,000.00) for full and complete performance of the Subcontract Work (the "Subcontract Sum"). This amount is subject to additions and deductions by Change Order under Article 12.

3.2 The Subcontract Sum includes all applicable sales and use taxes, permit and inspection fees, freight, hoisting, and costs of compliance with California prevailing wage requirements if those requirements apply to the Project.

3.3 The Subcontract Sum is allocated among the line items in the Exhibit — Schedule of Values. Contractor will use the Schedule of Values to evaluate Applications for Payment. Subcontractor shall not front-load the Schedule of Values, and Contractor may require reasonable reallocation before the first payment.

ARTICLE 4 — TIME AND SCHEDULE

4.1 Subcontractor shall mobilize within five (5) working days after written notice from Contractor. Subcontractor shall prosecute the Subcontract Work diligently and in accordance with Contractor's Project schedule, as updated from time to time.

4.2 Time is of the essence of this Subcontract. Subcontractor shall furnish sufficient labor, materials and equipment to maintain the schedule. If Subcontractor falls behind, it shall add crews or work overtime at its own expense until the schedule is recovered.

4.3 If Contractor is assessed liquidated damages under the Prime Contract, Subcontractor shall be liable for the portion of those damages caused by Subcontractor's delay.

4.4 Subcontractor shall give Contractor written notice of any claimed delay within five (5) days after the start of the delay. Subcontractor's sole remedy for delay not caused by Subcontractor is an extension of time. Additional

compensation for delay is available only to the extent Contractor recovers it from Owner on Subcontractor's behalf.

ARTICLE 5 — APPLICATIONS FOR PAYMENT

5.1 On or before the twentieth (20th) day of each month, Subcontractor shall submit to Contractor an Application for Payment covering Subcontract Work performed through the end of that month. Each Application shall be in the format Contractor requires and shall be based on the Schedule of Values.

5.2 Each Application for Payment shall be accompanied by the following:

(a) the lien waivers and releases required by Article 9;

(b) certified payroll records if required for the Project;

(c) an updated list of all sub-subcontractors and suppliers furnishing labor or materials for the Subcontract Work, with amounts paid and amounts owed to each; and

(d) any documentation required under Article 6 for Stored Materials.

5.3 Contractor will review each Application for Payment and may adjust it to reflect the actual percentage of completion. Contractor will include the approved amount in Contractor's own payment application to Owner.

ARTICLE 6 — STORED MATERIALS

6.1 Stored Materials are payable under this Subcontract. Contractor shall include in Subcontractor's progress payments the value of Stored Materials that are stored off site, provided they are stored in a bonded, insured warehouse and title to them has passed to Owner.

6.2 To receive payment for off-site Stored Materials, Subcontractor shall deliver the following with its Application for Payment:

(a) a bill of sale or other instrument, in form acceptable to Contractor and Owner, transferring title to the Stored Materials to Owner free of all liens, claims and encumbrances;

(b) a certificate of insurance showing that the warehouse and the Stored Materials are insured for their full replacement value, with Owner and Contractor named as additional insureds and loss payees as their interests may appear;

(c) evidence that the warehouse operator is bonded;

(d) an inventory identifying each item by description, quantity, value and tag number, with each item physically marked for the Project; and

(e) supplier invoices substantiating the value claimed.

6.3 Subcontractor shall allow Contractor and Owner to inspect the Stored Materials at the warehouse on reasonable notice.

6.4 Subcontractor bears the risk of loss of Stored Materials until they are incorporated into the Project. Subcontractor also bears all costs of storage, insurance and transportation. Title passing to Owner does not relieve

Subcontractor of its obligation to deliver and install the Stored Materials or to replace Stored Materials that are lost, damaged or defective.

6.5 Stored Materials delivered to the Project site and properly protected are payable on the same basis as other Subcontract Work. Payment is subject to Contractor's receipt of corresponding payment from Owner.

ARTICLE 7 — PROGRESS PAYMENTS

7.1 Contractor shall pay Subcontractor each progress payment within seven (7) days after Contractor receives payment from Owner for the Subcontract Work included in that progress payment. Each payment shall equal the amount approved for the Subcontract Work, less retention under Article 8 and any amounts withheld under Article 11.

7.2 The parties expressly agree in writing that progress payments under this Subcontract are made on a pay-when-paid basis. Contractor's receipt of payment from Owner establishes the time when payment becomes due to Subcontractor. Contractor's receipt of payment from Owner is not a condition precedent to Contractor's obligation to pay. If Owner fails to pay for reasons not caused by Subcontractor, Contractor shall pay Subcontractor within a reasonable time.

7.3 This Article is intended to comply with California Business and Professions Code Section 7108.5. It shall be construed accordingly.

7.4 No progress payment constitutes acceptance of defective or nonconforming work. No progress payment waives any of Contractor's rights under this Subcontract.

7.5 Final payment of the remaining balance, other than retention, shall be made within seven (7) days after Contractor receives final payment from Owner for the Subcontract Work. Before final payment, Subcontractor shall deliver the closeout documents required by Article 15 and the final waivers required by Article 9.

ARTICLE 8 — RETENTION

8.1 Contractor shall withhold retention of five percent (5%) from each progress payment to Subcontractor.

8.2 Contractor shall release retention to Subcontractor within ten (10) days after both of the following have occurred: (a) Final Completion of the Subcontract Work, and (b) Contractor's receipt of retention from Owner.

8.3 Before retention is released, Subcontractor shall deliver the conditional waiver and release on final payment required by Article 9, together with final waivers from its sub-subcontractors and suppliers.

8.4 Contractor may apply retention to any amount Subcontractor owes Contractor under Article 11 or under any other provision of this Subcontract.

ARTICLE 9 — LIEN WAIVERS AND RELEASES

9.1 Conditional waiver before progress payment. Subcontractor shall deliver a conditional waiver and release on progress payment with each Application for Payment, and before Contractor issues any progress payment. Each conditional waiver shall cover the full amount requested in that Application.

9.2 Unconditional waiver after payment. After receiving each progress payment, Subcontractor shall deliver to Contractor an unconditional waiver and release on progress payment covering the amount received. The

unconditional waiver for a payment shall be delivered no later than the date of Subcontractor's next Application for Payment. Contractor may withhold subsequent payments until it receives the unconditional waiver.

9.3 Statutory forms. All waivers and releases delivered under this Subcontract shall be in the statutory forms prescribed by California Civil Code Sections 8132, 8134, 8136 and 8138, as applicable. A waiver that does not substantially follow the statutory form will be rejected and treated as not delivered.

9.4 Lower-tier waivers. Subcontractor shall obtain and deliver to Contractor conditional and unconditional waivers and releases, in the same statutory forms, from each of its sub-subcontractors and suppliers. These waivers shall be delivered for each payment period in which a sub-subcontractor or supplier furnished labor, materials or equipment for the Subcontract Work. Contractor may withhold from Subcontractor any amount attributable to a sub-subcontractor or supplier whose required waiver has not been delivered.

9.5 Final waivers. With its request for final payment, Subcontractor shall deliver conditional waivers and releases on final payment from itself and from each of its sub-subcontractors and suppliers. Within five (5) days after receiving final payment, Subcontractor shall deliver the corresponding unconditional waivers and releases on final payment.

ARTICLE 10 — JOINT CHECKS

10.1 Contractor may issue any payment due under this Subcontract by check made jointly payable to Subcontractor and any one or more of Subcontractor's suppliers, sub-subcontractors or vendors.

10.2 Contractor may exercise this right at its discretion at any time. Without limiting that discretion, Contractor may issue joint checks when any of the following occurs:

(a) a supplier or sub-subcontractor has given a preliminary notice, served a stop payment notice, or recorded a mechanics lien;

(b) Subcontractor has failed to deliver a required lower-tier waiver; or

(c) Contractor reasonably believes that Subcontractor may not pay its suppliers or sub-subcontractors when due.

10.3 Subcontractor shall endorse each joint check promptly and shall cause the joint payee to endorse it. The amount of each joint check is a payment to Subcontractor under this Subcontract, whether or not Subcontractor endorses it.

10.4 Contractor's issuance of joint checks does not create any contractual relationship between Contractor and any supplier or sub-subcontractor. It also does not create any obligation of Contractor to make further joint checks or to ensure that the joint payee applies the funds properly. Subcontractor shall cooperate with any joint check agreement Contractor requests.

ARTICLE 11 — WITHHOLDING, BACKCHARGES AND SETOFF

11.1 Contractor may withhold from any payment otherwise due Subcontractor an amount sufficient to protect Contractor against loss arising from the following:

(a) defective or nonconforming Subcontract Work that has not been corrected;

(b) third-party claims, stop payment notices or mechanics liens arising from the Subcontract Work;

(c) Subcontractor's failure to pay sub-subcontractors, suppliers or workers;

(d) Subcontractor's failure to maintain the schedule;

(e) damage caused by Subcontractor to the work of Contractor, Owner or others; or

(f) any other material breach of this Subcontract.

11.2 Defective work. Contractor may withhold payment for any Subcontract Work that is defective or does not conform to the Contract Documents until that work is corrected and accepted. The amount withheld may include Contractor's reasonable estimate of the cost to correct the work.

11.3 Backcharge setoff. Contractor may set off any Backcharge against any amount owed to Subcontractor under this Subcontract, including progress payments, final payment and retention. Before assessing a Backcharge, Contractor shall give Subcontractor written notice and a forty-eight (48) hour opportunity to perform the work at issue, except in an emergency. Backcharges shall include the actual cost of labor, materials and equipment, plus fifteen percent (15%) for overhead and profit.

11.4 If amounts withheld or set off exceed the amounts otherwise due Subcontractor, Subcontractor shall pay the difference to Contractor within ten (10) days after written demand.

11.5 Contractor shall release amounts withheld under this Article when the condition giving rise to the withholding has been fully remedied, less any Backcharges applied.

ARTICLE 12 — CHANGES

12.1 Contractor may order changes in the Subcontract Work by written Change Order without invalidating this Subcontract. Subcontractor shall not perform any change without a written Change Order or written field directive signed by Contractor's project manager.

12.2 Subcontractor shall submit a written, itemized proposal for each requested change within seven (7) days after Contractor's request. Markup on changed work shall not exceed ten percent (10%) for Subcontractor's own forces and five percent (5%) on the work of its sub-subcontractors.

12.3 Subcontractor shall submit any claim for an adjustment to the Subcontract Sum or schedule in writing within seven (7) days after the event giving rise to the claim. Claims not timely submitted are waived to the extent permitted by law.

12.4 Where a change is caused by Owner, Subcontractor's adjustment is limited to the amount Contractor recovers from Owner on Subcontractor's behalf, less Contractor's reasonable costs of pursuing that recovery.

ARTICLE 13 — INSURANCE AND BONDS

13.1 Before starting the Subcontract Work, Subcontractor shall obtain and maintain the following insurance:

(a) commercial general liability insurance with limits of not less than $2,000,000 per occurrence and $4,000,000 aggregate, including products-completed operations coverage for three (3) years after Final Completion;

(b) automobile liability insurance with a combined single limit of not less than $1,000,000;

(c) workers' compensation insurance at statutory limits, and employer's liability insurance of not less than $1,000,000; and

(d) umbrella or excess liability insurance of not less than $5,000,000.

13.2 Contractor, Owner and their officers and employees shall be named as additional insureds on Subcontractor's general liability, automobile and umbrella policies. Coverage shall be primary and non-contributory. Each policy shall include a waiver of subrogation in favor of the additional insureds.

13.3 Subcontractor shall furnish payment and performance bonds, each in the full amount of the Subcontract Sum, issued by a surety admitted in California and acceptable to Contractor. The cost of the bonds is included in the Subcontract Sum.

ARTICLE 14 — INDEMNITY

14.1 To the fullest extent permitted by law, including California Civil Code Section 2782.05, Subcontractor shall defend, indemnify and hold harmless Contractor, Owner and their officers, employees and agents from all claims, damages, losses and expenses, including reasonable attorneys' fees. This obligation applies to the extent such claims arise out of the negligence, recklessness or willful misconduct of Subcontractor, its sub-subcontractors, or anyone employed by them, or arise from Subcontractor's breach of this Subcontract.

14.2 Subcontractor's duty to defend arises upon tender of a claim. That duty is not conditioned on a final determination of fault.

14.3 This Article survives completion or termination of this Subcontract.

ARTICLE 15 — WARRANTY, CORRECTION AND CLOSEOUT

15.1 Subcontractor warrants that all materials and equipment will be new and of good quality, and that the Subcontract Work will be free from defects and will conform to the Contract Documents and applicable codes, including NFPA 13, NFPA 14, NFPA 20 and the California Fire Code.

15.2 Subcontractor shall correct any defective or nonconforming Subcontract Work at its own expense. This obligation applies to defects discovered within one (1) year after Final Completion of the Project, or any longer period required by the Prime Contract or a manufacturer's warranty. Subcontractor shall begin corrective work within three (3) days after written notice, or immediately in an emergency.

15.3 Closeout deliverables include the following:

(a) as-built drawings;

(b) final hydraulic calculations;

(c) contractor's material and test certificates;

(d) fire pump acceptance test reports;

(e) operation and maintenance manuals;

(f) manufacturer warranties;

(g) a spare sprinkler cabinet stocked as required by NFPA 13; and

(h) training for Owner's facility personnel.

ARTICLE 16 — DEFAULT AND TERMINATION

16.1 If Subcontractor fails to perform any obligation under this Subcontract and does not begin to cure within three (3) days after written notice, Contractor may take one or more of the following actions:

(a) supplement Subcontractor's forces;

(b) take over and complete any part of the Subcontract Work; or

(c) terminate this Subcontract for default.

In each case, Contractor may recover from Subcontractor all resulting costs.

16.2 Contractor may terminate this Subcontract for convenience on written notice. In that event, Subcontractor shall be paid for Subcontract Work properly performed through the date of termination, plus reasonable demobilization costs. Subcontractor shall not be paid lost profit on unperformed work.

16.3 If a termination for default is later determined to have been improper, it shall be treated as a termination for convenience.

ARTICLE 17 — DISPUTES AND GOVERNING LAW

17.1 This Subcontract is governed by the laws of the State of California, without regard to its conflict-of-laws principles.

17.2 Disputes involving Owner's acts or omissions shall be resolved under the dispute procedures of the Prime Contract. Subcontractor agrees to be bound by the outcome of those procedures to the same extent as Contractor.

17.3 All other disputes shall first be submitted to mediation in San Joaquin County, California. If mediation does not resolve the dispute, it shall be litigated in the Superior Court of California, County of San Joaquin.

17.4 Pending resolution of any dispute, Subcontractor shall proceed diligently with the Subcontract Work, and Contractor shall continue to make undisputed payments.

17.5 The prevailing party in any action to enforce this Subcontract is entitled to recover its reasonable attorneys' fees and costs.

ARTICLE 18 — GENERAL PROVISIONS

18.1 Subcontractor shall not assign this Subcontract, or subcontract any portion of the Subcontract Work, without Contractor's prior written consent.

18.2 Subcontractor shall comply with all applicable laws, including Cal/OSHA regulations, the Project safety plan, and prevailing wage and apprenticeship requirements where they apply.

18.3 Notices shall be in writing and delivered by hand, by overnight courier, or by email with confirmation, to the addresses stated in the preamble.

18.4 This Subcontract is the entire agreement between the parties concerning the Subcontract Work. It may be modified only by a writing signed by both parties. If any provision is held unenforceable, the remaining provisions remain in effect.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the date first written above, each acknowledging that it has read and agrees to the payment, retention, waiver, joint check and setoff provisions stated above.

NORTHGATE BUILDERS GROUP By: _____ Name: Daniel R. Whitcomb Title: Vice President, Operations Date: _____

ALLIED FIRE PROTECTION, INC. By: _____ Name: Teresa M. Alvarado Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Specification Section	Scheduled Value
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1	Mobilization, shop drawings, hydraulic calculations, permits	21 05 00	$18,500.00
2	Underground fire service and backflow prevention assembly	21 11 00	$46,000.00
3	Electric fire pump, controller and test header	21 31 13	$62,500.00
4	ESFR mains, cross mains and branch lines, storage area	21 13 39	$158,000.00
5	Wet-pipe sprinkler system, office area	21 13 13	$24,000.00
6	Dry-pipe sprinkler systems, dock canopies	21 13 16	$31,000.00
7	Standpipes and fire department connections	21 12 00	$22,500.00
8	Hangers, supports and seismic bracing	21 05 00	$29,000.00
9	Flushing, hydrostatic testing and acceptance inspections	21 05 00	$14,500.00
10	Closeout documents, as-builts and Owner training	21 05 00	$8,000.00
11	Project supervision and general conditions	21 05 00	$14,000.00
	Subcontract Sum		**$428,000.00**